

Competitive Advantage

Superior value creation that rivals cannot readily replicate or substitute

GLOSSARY 03 - SHEET 3 / 8

PROFESSIONAL DEFINITION

A competitive advantage exists where a firm creates greater economic value than its rivals and the source of that value is not simultaneously being exploited by them. It is sustained where the underlying resource is valuable, rare, imperfectly imitable and organisationally exploitable - the VRIO conditions - and it is competitive parity, not advantage, where a resource is valuable but widely available (Barney, 1991; Porter, 1985).

WHO DEFINED IT ORIGINALLY

Jay B. Barney formalised the resource-based conditions at Texas A&M University in a 1991 Journal of Management article, building on Wernerfelt's (1984) resource-based view and Penrose's (1959) theory of the growth of the firm. Michael E. Porter's (1985) positioning account, in which advantage derives from activity configuration rather than resource endowment, remains the principal alternative.

WHY THIS DEFINITION WAS DEVELOPED

Industry-structure analysis explained why some industries were more profitable than others but not why firms within the same industry differed persistently. Barney's conditions relocated the explanation inside the firm and, crucially, specified the tests a claimed advantage must pass - which made most claimed advantages fail.

HOW IT IS USED

Apply the four tests in order to the specific resource claimed; a purchasable model or a commercially available dataset fails rarity immediately, which redirects attention to the proprietary data, workflow integration and complementary assets that may not.

WHEN IT IS USED

When assessing whether an AI capability confers advantage or merely restores parity, at investment approval for a differentiating capability, and when a competitor announces the same technology.

BY WHOM IT IS USED

Strategy teams testing advantage claims, investment committees, chief data and AI officers distinguishing proprietary from purchasable capability, and boards assessing the durability of a technology-based position.

FIGURE 1 - THE FOUR TESTS OF A RESOURCE

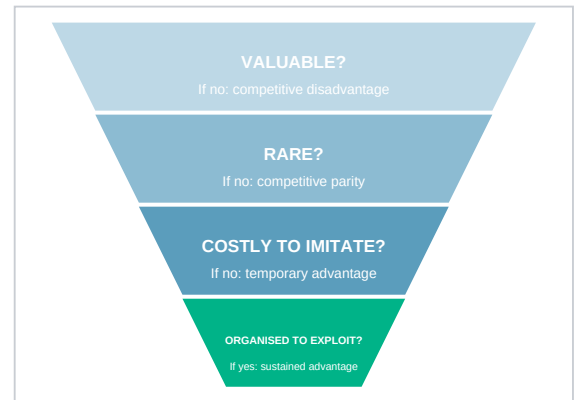


Figure 1. Each test removes candidates. A commercially available model typically fails the second test, which is why claimed AI advantage should be assessed against the proprietary data and workflow integration surrounding the model rather than the model itself (after Barney, 1991).

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Porter's five forces located profitability in industry structure and treated firms within an industry as broadly similar. The resource-based view explains intra-industry variance, and VRIO converts the view into a sequence of falsifiable tests rather than a description. For AI specifically this is decisive: the model is rarely rare, so the four tests move the analysis to data, integration and organisational capability, where the durable difference actually sits.

RELATED DEFINITIONS IN THIS COURSE

[AI Strategy - Unit 3](#)
[Value Migration - Unit 1](#)
[Profit Pool - Unit 3](#)
[Build-Buy-Partner Decision - Unit 3](#)
[Disruptive Innovation - Unit 1](#)

SOURCES (HARVARD REFERENCING STYLE)

- Barney, J. (1991) 'Firm resources and sustained competitive advantage', Journal of Management, 17(1), pp. 99-120.
 Penrose, E.T. (1959) The Theory of the Growth of the Firm. Oxford: Basil Blackwell.
 Porter, M.E. (1985) Competitive Advantage: Creating and Sustaining Superior Performance. New York: Free Press.
 Wernerfelt, B. (1984) 'A resource-based view of the firm', Strategic Management Journal, 5(2), pp. 171-180.